

emotions of fear and greed. Absent rationality, investors are destined to become the patsy in the game called investing.

Notes

1. Andrei Shleifer and Robert Vishny, “The New Theory of the Firm: Equilibrium Short Horizons of Investors and Firms,” *American Economic Review, Paper and Proceedings* 80, no. 2 (1990): 148–153.
2. Ibid.
3. Keith Stanovich, *What Intelligence Tests Miss: The Psychology of Rational Thought* (New Haven: Yale University Press, 2009). Also see Keith Stanovich, “Rationality versus Intelligence,” Project Syndicate (2009-04-06), www.project-syndicate.org.
4. Keith Stanovich, “Rational and Irrational Thought: The Thinking That IQ Tests Miss,” *Scientific American Mind* (November/December 2009), 35.
5. Jack Treynor, *Treynor on Institutional Investing* (Hoboken, NJ: John Wiley & Sons, 2008), 425.
6. Ibid., 424.
7. Ibid.
8. Daniel Kahneman, *Thinking Fast and Slow* (New York: Farrar, Straus & Giroux, 2011), 4.
9. The bat costs \$1.05 and the ball costs \$0.05. It takes 5 minutes for 100 machines to make 100 widgets. It will take 47 days for the lily pad patch to cover half the lake.
10. D. N. Perkins, “Mindware and Metacurriculum,” in *Creating the Future: Perspectives on Educational Change*, comp. and ed. Dee Dickinson (Baltimore: Johns Hopkins University School of Education, 2002).
11. Ilia Dicher, Kelly Long, and Dexin Zhou, “The Dark Side of Trading,” Emory University School of Law, Research Paper No. 11, 95–143.
12. Carol Loomis, *Tap Dancing to Work: Warren Buffett on Practically Everything, 1966–2012* (New York: Time Inc., 2012), 101.